

the confirmation line, which is the price of the highest high between the two bottoms). Buying before the breakout is an easy way to lose money, but if you're right, you could make more.

In my trading, I place a buy stop a penny above the top of the chart pattern to enter a trade. That means I'm not waiting for a close above the pattern (and entering the next day at the open), but statistical results show the failure rate drops and the median rise increases (slightly) with this method.

Trade with market trend. You'll make the most money if you trade in line with the market and industry trends. If the general market is bullish, then go long. If it's bearish, then don't add a long position until the bear market is nearing its end (like 1.5 years after it started).

Check others in the industry. What are other stocks in the same industry doing? If they are showing signs of bottoming, then the double bottom becomes more important. If other stocks are continuing down, avoid trading the double bottom. Chances are the stock will fail to perform as expected.

Table 26.11 Special Features

Trading Tactic	Performance
Small bottom-to-bottom variation	31%
Large variation	49%
Median bottom-to-bottom variation	1%
Lower left bottom	39%
Lower right bottom	41%

Stop location. Use [Table 26.7](#) to assess the probability of a stop being hit. Swing traders will want to use a stop on most trades, but buy-and-hold investors will want to avoid them.

Busted trade. [Table 26.9](#) shows that busted double bottoms work better than non-busted double tops. A busted double bottom provides an easy entry signal for a short sale.

[Table 26.11](#) shows special features of double bottoms.

Bottom to bottom variation. I measured the bottom-to-bottom price variation and found that it was smaller than I expected: 1%. I sorted